Session 4: IAS7: Statement of Cash Flows

By the end of this session you must know the purpose of the statement of cash flows, the definition of cash and cash equivalents, how cash flows are classified into operating, investing and financing activities, how interest, dividends and taxes are treated, the difference between the direct and indirect methods, IAS7's disclosure requirements, and the amendments IFRS18 makes to IAS7.

Plan

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1. Purpose of the Statement of Cash Flows

Statement of cash flows: a financial statement that reports on the flows of cash in and out of a business entity during an accounting period.

- Cash is a vital resource: without cash a business cannot pay its employees, suppliers, and so on, and will eventually fail.
- Profit is not a reliable indicator of an entity's cash situation, since profit is computed on the accruals basis rather than the cash basis.
- The statement of cash flows focuses specifically on the entity's cash flows and draws attention to any cash problems that profit figures alone might obscure.

2. Cash and Cash Equivalents

Cash: cash on hand and demand deposits. A bank overdraft is treated as negative cash.

Cash equivalents: short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value.

- The total of cash and cash equivalents reported in the statement can be negative if the business has a bank overdraft, since the overdraft is netted off as negative cash.

3. Classification of Cash Flows by Activity

- Cash flows must be classified by activity. IAS7 identifies three classes of activity.

Operating activities: the principal revenue-producing activities of the entity (and other activities that are not investing or financing activities).

Investing activities: the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

Financing activities: activities that result in changes in the size and composition of the contributed equity and borrowings of the entity.

3.1 Operating Activities

Cash flows arising from operating activities include:

- Cash receipts from the sale of goods and services.
- Cash receipts from royalties, fees, commissions and other revenue.
- Cash payments to suppliers for goods and services.

- Cash payments to and on behalf of employees.
- Cash payments or refunds of taxes, unless specifically identified with investing or financing activities.

3.2 Investing Activities

Cash flows arising from investing activities include:

- Cash payments to acquire property, plant and equipment or other long-term assets.
- Cash receipts from the sale of property, plant and equipment or other long-term assets.
- Cash payments to acquire shares or debt instruments of other entities.
- Cash receipts from the sale of shares or debt instruments of other entities.
- Cash advances and loans made to other parties.
- Cash receipts from the repayment of advances and loans made to other parties.

3.3 Financing Activities

Cash flows arising from financing activities include:

- Cash proceeds from issuing shares.
- Cash payments to owners to acquire or redeem the entity's own shares.
- Cash proceeds from issuing debentures, loans and other borrowings.
- Cash repayments of amounts borrowed.
- Cash payments by a lessee for the reduction of the outstanding liability relating to a lease.

4. Treatment of Interest, Dividends and Taxes

Under the (pre-IFRS18) general rules:

- **Interest received** and **dividends received**: treated as cash inflows from investing activities.
- **Interest paid** on a loan acquired for operating purposes. Usually classified under operating activities, though it might instead be classified under financing activities.
- **Dividends paid**: might be classified under either operating activities or financing activities.
- **Taxes**: classified under operating activities, unless specifically associated with investing or financing activities.

(IFRS18 changes the treatment of interest paid and dividends paid. See Section 7.)

5. Direct Method vs Indirect Method

- Cash generated from operations may be reported using either the **direct method**, whereby major classes of receipts and payments arising from operating activities are disclosed individually, or the **indirect method**, which begins with the profit or loss for the period (before tax) and then makes a number of adjustments to calculate the total amount of cash generated from operations.
- Both methods produce the same bottom-line result. Only the presentation of operating cash flows differs.
- (IFRS18 changes the starting point used for the indirect method. See Section 7.)

5.1 The Direct Method

- Major classes of operating receipts and payments are disclosed individually and then aggregated to give total cash generated from operations.
- A statement of cash flows prepared using the direct method will typically disclose: total cash receipts from customers. Total cash paid to suppliers of goods and services, and total cash paid to employees.

5.2 The Indirect Method

This method begins with profit or loss before tax and then makes the following adjustments:

- Any non-cash expenses (e.g. depreciation, losses on disposal of plant) are added back.
- Any non-cash income (e.g. a decrease in the allowance for doubtful debts) is subtracted.
- Any increases or decreases in inventories, trade receivables/payables and accruals/prepayments are adjusted for.
- Any items of income or expense not derived from operating activities are adjusted for.

Cash generated from operations = Profit or loss before tax + Non-cash expenses − Non-cash income ± Changes in working capital − Non-operating income/expense items

where: - Non-cash expenses/income: items such as depreciation or a movement in a doubtful-debt allowance that affected profit but involved no cash movement. - Changes in working capital: movements in inventories, trade receivables, trade payables, accruals and prepayments (a decrease in an asset or increase in a liability is a source of cash, the reverse is a use of cash). - Non-operating items: income or expense recognised in profit or loss that relates to investing or financing activities, removed here because it is reported under those headings instead. - Reading the formula as a calculation: start from profit before tax, add back expenses that never cost cash, strip out income that never brought in cash, adjust for the cash tied up or released by working-capital movements, then strip out anything that belongs under investing/financing instead. What's left is cash generated purely from operations.

6. Disclosure Requirements of IAS7

- Entities must disclose the components of their cash and cash equivalents and present a reconciliation of these amounts in the statement of cash flows with the equivalent items reported in the statement of financial position.
- Entities are also encouraged, but not required, to supply further information, such as the amount of any undrawn borrowing facilities and an analysis of cash flows by segment (where a segment is a distinguishable component of a business entity).

7. Amendments to IAS7 Made by IFRS18

- IFRS18 (Presentation and Disclosure in Financial Statements), issued in April 2024, is mandatory for accounting periods beginning on or after **1 January 2027**.
- It amends IAS7 in three ways:
  - When using the indirect method to calculate cash generated from operations, the starting point changes from profit or loss before tax to one of IFRS18's new mandated statement-of-profit-or-loss subtotals.
  - Dividends paid must now be classified under **financing** activities (removing the previous operating/financing choice).
  - In most cases, interest paid must also now be classified under **financing** activities (removing the previous operating/financing choice in most cases).

8. Common Mistakes and Exam Traps

- Treating profit as a proxy for cash health. The whole rationale for IAS7 is that profit is computed on the accruals basis and is therefore not a reliable indicator of an entity's cash situation.
- Misclassifying a bank overdraft as a financing activity item rather than as negative cash. An overdraft is netted within cash and cash equivalents, not shown as a financing cash flow.
- Forgetting that the direct and indirect methods differ only in how operating cash flows are presented. Both give the same bottom-line change in cash, and only the indirect method touches profit or loss as a starting point.
- Adding back a decrease in a working-capital asset (e.g. a fall in receivables) as if it were a use of cash. A decrease in a current asset (other than cash) is a source of cash and should be added, not subtracted.
- Assuming interest paid and dividends paid are always classified the same way. Under the pre-IFRS18 rules both had a choice of classification (interest paid usually operating, dividends paid operating or financing). IFRS18 removes this flexibility, moving both to financing (with interest paid moving there "in most cases").
- Confusing IAS7's three activity classes (operating/investing/financing, used to classify cash flows) with IFRS18's five categories for the statement of profit or loss (operating/investing/financing/income taxes/discontinued operations, covered in Session 3). They are separate classification schemes applied to different statements.
- Assuming IFRS18's changes to IAS7 already apply. They are mandatory only for periods beginning on or after 1 January 2027.

9. Must Know Absolutely

Must know:

• Purpose: report cash inflows/outflows. Profit ≠ cash because profit is accruals-based

• Cash = cash on hand + demand deposits (overdraft = negative cash). Cash equivalents = short-term, highly liquid, insignificant risk of value change

• Three activity classes: operating (principal revenue-producing activities), investing (acquisition/disposal of long-term assets/investments), financing (changes in size/composition of equity and borrowings)

• Pre-IFRS18: interest received/dividends received → investing. Interest paid usually operating (or financing). Dividends paid → operating or financing. Tax → operating unless tied to investing/financing

• Direct method: discloses major classes of operating receipts/payments individually. Indirect method: starts from profit before tax, adjusts for non-cash items and working-capital changes. Both give the same total

• IAS7 disclosure: reconcile cash/cash-equivalent components to the statement of financial position. Encouraged (not required) to disclose undrawn borrowing facilities and segment cash flow analysis

• IFRS18 (mandatory from periods beginning 1 Jan 2027) amends IAS7: indirect method now starts from a new IFRS18 subtotal (not profit before tax). Dividends paid → financing. Interest paid → financing in most cases